

IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION

(2026) 3 SCC 217

CIVIL APPEAL NO. 1147 OF 2026
(Arising out of SLP (Civil) No. 8842 of 2025)
DECIDED ON: 14 FEBRUARY 2026

BENCH:

HON'BLE MR. JUSTICE SANJIV KHANNA, CJI
HON'BLE MR. JUSTICE SANJAY KUMAR, J.
HON'BLE MS. JUSTICE B.V. NAGARATHNA, J.

BETWEEN:

RAJAN MEHTA & ORS. ... Appellants
VERSUS
UNION OF INDIA & ANR. ... Respondents

SUBJECT: Administrative Law — Natural Justice — Audi Alteram Partem — Article 14

HEADNOTE

The principle of audi alteram partem — hear the other side — is a fundamental rule of natural justice embedded in Article 14 of the Constitution. No order adverse to a person may be passed without affording that person a reasonable opportunity to be heard. A show-cause notice that is illusory or time-constrained so as to preclude a meaningful reply does not satisfy the requirement of natural justice. The vice of arbitrariness infects an order where the authority has predetermined the outcome before hearing the affected party.

JUDGMENT

Sanjiv Khanna, CJI:

1. This appeal challenges the judgment of the Division Bench of the High Court of Delhi dated 19 September 2025, which upheld the order of the Central Government cancelling the appellant's import licence under Section 6 of the Foreign Trade (Development and Regulation) Act, 1992, without issuance of a prior show-cause notice.
2. The appellant, a registered importer of pharmaceutical raw materials, received a cancellation order on 3 June 2025. The order cited violation of import conditions but provided no particulars and no opportunity to respond. The appellant's representation filed on 10 June 2025 was rejected without reasons.
3. The sole question before this Court is whether the cancellation of the import licence without notice or hearing is constitutionally valid.

RATIO DECIDENDI

4. The right to be heard before an adverse order is passed is not a mere procedural formality — it is a substantive right guaranteed by Article 14. This Court in *Maneka Gandhi v. Union of India*, (1978) 1 SCC 248 held that any procedure that deprives a person of a right must be just, fair and reasonable. An order passed in violation of natural justice is void ab initio.

5. The respondents' contention that urgency justified dispensing with notice is rejected. Urgency may shorten the time for response but cannot eliminate the right to respond altogether. See also *A.K. Kraipak v. Union of India*, AIR 1970 SC 150 and *State of Orissa v. Dr. (Miss) Binapani Dei*, AIR 1967 SC 1269.

6. Accordingly, the impugned order of cancellation is set aside. The respondents are directed to issue a fresh show-cause notice, afford the appellant 30 days to reply, and pass a speaking order within 60 days thereafter.

RESULT

Appeal allowed. No order as to costs. The cancellation order dated 3 June 2025 is quashed. The competent authority shall issue a show-cause notice within two weeks from the date of this judgment.